

The Competence Trap

Why Sweden's High-Trust Model Is Quietly Deprecating

A field guide to the feedback deficit — and how Sweden can rebuild its capacity to sense, share, and adapt.

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Executive Summary

Sweden is one of the best-governed societies on earth. By almost any international measure—trust, transparency, welfare delivery, digital infrastructure—it sits near the top. The machine hums. And precisely because it hums, something important has become difficult to see.

This report argues that Sweden is caught in a **Competence Trap**: *the better a system performs under known conditions, the harder it becomes to detect when those conditions have changed.* The state was brilliantly designed for a slower, more homogeneous, more predictable world. That world is no longer the one Sweden inhabits. But the architecture has not been upgraded, because the architecture was never designed to upgrade itself—it was designed to run. And it runs beautifully, within the bandwidth of what it can see. The problem is that it cannot see enough.

The signature pattern is the **Swedish Drift Loop**: high trust leads to delegation, which enables signal suppression, which allows problems to accumulate quietly below the surface, until a triggering event forces sudden recognition and a compressed, reactive correction. Trust erodes slightly. The loop repeats. This is visible in domains from housing and integration to energy and defence—most vividly in the NATO accession, where decades of suppressed warning signals gave way to a pivot so rapid it had almost no historical precedent.

The underlying condition is a **feedback deficit**. Sweden does not lack competence, resources, or trust. It lacks the capacity to detect disturbing signals early, share them across institutional boundaries, acknowledge them honestly, and act on them before they compound.

Three structural mechanisms produce the deficit:

- **The Data Archipelago.** Sweden has a world-class digital state—but it is transactional, not sensemaking. Agencies are walled off by legal and cultural silos. A social worker cannot see school data; the police cannot see health data. The state possesses an extraordinary sensing tool in the *personnummer*, yet operates with a legally severed nervous system. It can process a tax return in seconds but cannot connect the dots between school truancy, local tax base erosion, and gang recruitment.

- **Jantelagen as a Variance-Minimization Algorithm.** Sweden's consensus culture once served as an effective suppressor of negative outliers—inequality, disorder, exclusion. In the 21st century, it also suppresses the positive outliers, uncomfortable signals, and productive conflicts that complex systems need to adapt. Beneath it lies a **Mean-Reversion Fallacy**: the institutional assumption that disturbances will eventually return to a stable equilibrium. This assumption is blind to exponential or cascading phase shifts that do not revert.

- **The Municipal Trap.** Sweden exhibits *formal subsidiarity, functional centralisation*. Municipalities carry the heaviest integration burdens—schools, social services, crime prevention—yet rely on local income taxes that erode precisely where needs are greatest. They have responsibility without the fiscal or experimental autonomy to match it. The sensors are in place at the local level; the capacity to respond sits at the centre, disconnected from local signals.

These mechanisms reinforce one another, producing systematic time lags between signal and response. Problems are sensed late, acknowledged reluctantly, and addressed with compressed, reactive measures that leave the underlying architecture unchanged.

The report proposes a **feedback infrastructure upgrade** organised around four investments: reconnecting the nervous system through privacy-preserving cross-agency data sharing that moves from transactional efficiency to systemic sensemaking; building structured disagreement into public administration through standing citizen deliberative bodies, red teams, and embedded futures literacy; granting municipalities genuine fiscal and experimental autonomy to match their responsibilities; and creating living testbeds—Framtidskommuner—where the new architecture can prove itself.

It names the political immune system that will resist: satisfied competence, the consensus filter, and the agency silo as institutional defence. And it proposes a transition architecture that works with Sweden's existing strengths—trust, rationality, local self-government—rather than against them: voluntary municipal Trojan Horses, cross-silo data covenants, safe-to-fail pilots, and scaling by attraction rather than central mandate.

The concrete first step is a network of 3–5 **Framtidskommuner** (Future Municipalities): volunteer municipalities empowered with integrated governance mandates, secure data-sharing infrastructure, standing citizens' assemblies, and the fiscal and legal flexibility to experiment. Success is measured not just by traditional outcomes but by feedback velocity—how fast signals are detected, shared, and acted upon—and by policy half-life: how long reforms survive and remain effective.

The European dimension completes the series. Germany suffers an execution deficit—it cannot translate resources into action. France suffers an integration deficit—it cannot make decisions stick. Sweden suffers a feedback deficit—it cannot see what is coming in time. Together, Europe struggles to *sense*, *integrate*, and *execute* simultaneously. Sweden, with its high trust and intact institutions, has the shortest distance to travel—and could become the laboratory for the sensing infrastructure Europe desperately needs.

The Swedish model was never meant to be a museum piece. It was built by pragmatists who looked honestly at their conditions and designed accordingly. The conditions have changed. The question is whether the pragmatism that built the

folkhemmet

still has the courage to upgrade it—not because the old model failed, but because it succeeded so well that it forgot to keep looking. Sweden does not need to become more competent. It needs to become more permeable—to the signals its success has filtered out, to the realities its metrics miss, and to the future its competence has made harder to see.

1. The Competence Trap

1.1 The Swedish Drift Loop

Sweden is not failing. It is drifting.

The pattern is less dramatic than the French reform-explosion-retreat cycle. It lacks the visible frustration of German infrastructure paralysis. But it is no less systematic. A problem gathers — quietly, at the edges of the public conversation, in the statistics that no single agency is responsible for connecting. It is visible to those who look directly at it, but it has not yet crossed the threshold where the wider system must acknowledge its existence. For years, sometimes decades, it accumulates.

Then something shifts. A triggering event — a riot, an election result, an international crisis — forces the issue into the open. The public conversation, which had been politely ignoring the problem or treating it as an anomaly, pivots abruptly. The same institutions that had been patiently waiting for the trend to reverse themselves are now required to act with urgency. They do so — competently, decisively, with the full force of the Swedish state behind them. But the action is compressed, reactive, and often narrower than the problem it addresses. The underlying architecture that delayed recognition remains unchanged. Trust erodes slightly. The system stabilises. And the loop begins again.

This is the **Swedish Drift Loop**: high trust leading to delegation, delegation enabling signal suppression, suppressed signals allowing problems to accumulate below the surface, sudden recognition forcing reactive correction, and the whole cycle concluding with a slightly diminished reservoir of trust — ready to repeat.

The loop operates across domains. In housing, supply constraints and segregation have been visible for decades, but the policy response has oscillated between ambitious national reforms that stall and local experiments that remain marginal. In integration, early warnings from teachers, social workers, and municipal officials were filtered out of the national conversation for years before erupting into a political crisis that reshaped the party landscape. In energy, strategic inconsistency has been the norm — bold climate targets alongside continued investment in fossil-dependent industries, with the tension between them acknowledged only episodically. In defence, decades of expert consensus on non-alignment suppressed signals of a changing security environment until the full-scale invasion of Ukraine forced a pivot that was, by any measure, compressed and reactive.

Sweden is not failing randomly. It is running a stable loop. The loop is the symptom of a specific, diagnosable deficit — a feedback deficit — that can be addressed once it is understood. But understanding it requires looking past the surface of a system that appears, by most conventional measures, to be working extraordinarily well.

1.2 The Surface Story: A Machine That Works

And it is working. This must be said clearly, because the analysis that follows can easily be misread as a critique of the Swedish model, and that is not what it is.

By almost any international comparison, Sweden performs at or near the top. Trust in institutions, while declining from historic peaks, remains among the highest in the world. Corruption is vanishingly low. The welfare state delivers — healthcare, education, social support, parental leave, pensions — at a level of comprehensiveness and quality that most nations can only aspire to. The digital infrastructure is world-class. The economy is innovative, export-oriented, and resilient. The international brand is strong. When global rankings of governance quality, quality of life, or social progress are published, Sweden appears reliably in the top tier, often in the top five.

These achievements are real. They are the product of generations of pragmatic, evidence-based institutional design — the

folkhemmet

tradition that built one of the most equitable and stable societies in modern history. The Swedish state is not a failing machine. It is an exceptionally well-maintained one. The civil servants who operate it are, by and large, competent and dedicated. The politicians who steer it are, by comparative standards, serious and well-intentioned. The citizens who fund it through some of the world's highest tax burdens do so largely willingly, because they believe — with reason — that they receive value in return.

This is the surface story. It is accurate as far as it goes. And precisely because it is accurate, it conceals something important.

1.3 The Competence Trap, Named

Here is the central concept of this report. It is deceptively simple, and its implications are less comfortable than they first appear.

The Competence Trap: *The better a system performs under known conditions, the harder it becomes to detect when those conditions have changed.*

This is not a failure of the Swedish model. It is a property of all high-performing systems. Success breeds confidence. Confidence reduces vigilance. Reduced vigilance delays the detection of shifts that fall outside the system's established monitoring frameworks. The very metrics that confirm the system is working — the international rankings, the aggregate statistics, the high trust scores — are the metrics that make it harder to see what the system was not designed to measure.

The Swedish state was designed for a specific social substrate. It assumed an ethnically and culturally homogeneous population. It assumed industrial employment with strong trade union density as the connective tissue between citizen and state. It assumed geographic stability — people living their lives in the communities where they were born, or at least within the same municipality. It assumed a relatively slow rate of change in the external environment, allowing for deliberate, consensus-based decision-making calibrated to electoral cycles rather than crisis timelines.

Most of these assumptions have eroded significantly. Sweden is now a multicultural society with significant populations born abroad or to foreign-born parents. The industrial base has transformed — it remains strong, but the nature of employment, the role of unions, and the connection between work and community have shifted. Geographic mobility, combined with housing market dysfunction, has concentrated opportunity in urban cores and left peri-urban and rural municipalities with thinning tax bases and growing service demands. The external environment — geopolitically, technologically, ecologically — is changing faster than the electoral cycle can process.

The architecture of the state, however, has not been correspondingly upgraded. It was never designed to upgrade itself. It was designed to run. And it runs beautifully — within the bandwidth of the conditions it was calibrated to handle. The problem is not that the machine is breaking. It is that the environment around it has changed, and the machine lacks the sensory apparatus to detect the full extent of that change.

This is why the Competence Trap is so insidious. A failing system generates visible distress — protests, economic contraction, institutional collapse — that forces adaptation. A succeeding system generates the opposite: aggregate outcomes that remain within acceptable bounds, international validation, a reasonable case for incremental improvement rather than structural reform. The success is not an illusion. But it is a partial view, and the very confidence it inspires makes the partiality harder to perceive.

1.4 A Brief Illustration: NATO and the Loop

An example clarifies the pattern without requiring the reader to navigate politically charged domestic debates.

For decades, Sweden's security policy rested on a stable consensus: military non-alignment, a strong territorial defence, and a carefully managed relationship with NATO that stopped short of membership. This consensus was maintained by expert opinion, institutional culture, and broad political agreement. It was not irrational. It had served Sweden well through the Cold War and its aftermath.

But signals that the security environment was changing — Russia's war in Georgia in 2008, the annexation of Crimea in 2014, the increasing tempo of hybrid operations in the Baltic region — were systematically filtered through the existing consensus. Each event was noted, analysed, and absorbed into the existing

framework. The framework adapted incrementally — closer cooperation with NATO, enhanced defence spending — but the core assumption of non-alignment remained intact. The signals were interpreted as cyclical disturbances that would revert to a stable mean, not as evidence of a structural phase shift.

The full-scale invasion of Ukraine in February 2022 shattered that framework within weeks. Sweden, alongside Finland, applied for NATO membership in a decision process that was compressed, reactive, and driven by a public opinion shift so rapid it had almost no precedent in Swedish political history. The outcome — NATO accession — may prove to be strategically wise. The process that produced it, however, was a textbook case of the Drift Loop: decades of suppressed signals, followed by a compressed pivot when reality became undeniable.

This is not a critique of the policy choice. It is a diagnosis of the architecture that shaped the process. A system with higher feedback velocity would have detected the shift earlier, adjusted its posture more gradually, and entered the decision from a position of strategic deliberation rather than reactive urgency. The Swedish state was not wrong to join NATO. It was simply unable to have the conversation until the evidence was overwhelming — because the architecture was not designed to have it any sooner.

1.5 Sweden's Genuine Advantages

Before proceeding to the diagnosis, it is worth pausing to recognise what Sweden has going for it. The Competence Trap is a genuine constraint, but the resources available to address it are equally genuine.

Sweden possesses one of the world's highest baseline levels of social trust. This trust is not evenly distributed — it is lower among foreign-born residents, among the young, among those in precarious economic situations — but it remains, in aggregate, a profound democratic resource. Trust means that citizens are willing to fund ambitious public programmes. It means that institutions can act without facing immediate delegitimisation. It means that the political conversation, while hardening, has not yet collapsed into the tribal polarisation that paralyses other democracies. Trust is the foundation on which a sensory upgrade can be built — because trust allows for honest conversations about what is not working, without those conversations triggering a collapse in confidence.

Sweden also possesses a strong institutional culture of *saklighet* — fact-based, rational deliberation. This culture is under strain, and its tendency to suppress uncomfortable signals is part of the diagnosis. But the underlying commitment to evidence, to pragmatic problem-solving, and to incremental improvement remains a genuine asset. It is the same culture that built the *folkhemmet* in the first place — not through ideology, but through a sustained, multi-generational process of institutional experimentation and refinement.

The digital infrastructure is world-class. The

personnummer

provides a unique identifier that could, with appropriate privacy protections, enable systemic sensing at a resolution most nations cannot match. The municipal structure, while trapped in the formal-subsidiarity functional-centralisation paradox, provides a distributed network of governance units that could become laboratories for adaptive experimentation if given the fiscal and legal autonomy to do so.

And Sweden's cultural connection to nature, its global outlook, and its tradition of long-term thinking — the

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sensibility that values balance, sufficiency, and intergenerational responsibility — provide a cultural substrate that is unusually ready for the kind of holistic, anticipatory governance that the 21st century demands. The Competence Trap is real. But Sweden, more than most nations, has the resources to escape it — if it can first see that it is in one.

1.6 The Real Question

At this point, a familiar impatience may arise.

So what should Sweden do? What reforms are needed?

The argument of this report is that the very form of these questions reflects the Competence Trap itself. They assume that the problem is a knowable policy gap that the existing architecture, properly directed, can fill. But the architecture was not designed to see the gaps that now matter most. Asking it to identify the reforms it needs is asking a machine to diagnose the limits of its own sensors — while using only those sensors to do so.

The real question is not "What should Sweden do differently?" It is "How does Sweden become capable of sensing what it currently cannot — and of acting on that sensing before the signals have accumulated into crises?"

The rest of this report is devoted to that question. It diagnoses the feedback deficit in its three structural mechanisms: the Data Archipelago, the cultural suppression of variance, and the municipal capacity trap. It describes what building feedback infrastructure would look like in practice. It names the political immune system that will resist any such effort. And it proposes a concrete first step: a set of

framtidskommuner

— future municipalities — designed to maximise feedback velocity and demonstrate that a different way of sensing and responding is possible.

Sweden does not need to become more competent. It is already among the most competent societies on earth. It needs to become more

permeable

— to the signals its current architecture filters out, to the realities its metrics miss, and to the future its success has made harder to see. That is not a failure of the Swedish model. It is the next chapter of the pragmatic tradition that built it.

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2. The Feedback Deficit: A New Diagnosis

2.1 What "Feedback Capacity" Means

The term "feedback" has a colloquial ring. In everyday use, it suggests performance reviews, customer surveys, the annual conversation between manager and employee. That is not what is meant here.

Feedback capacity, in the sense that matters for Sweden's current situation, is the ability of a governance system to detect disturbing signals early, to share those signals across institutional boundaries without distortion or delay, to acknowledge their implications honestly — even when those implications challenge the prevailing consensus — and to act on them before they compound into crises.

This is not a single capability. It is a composite of sensing, transmission, interpretation, and response, distributed across institutions, cultural habits, legal frameworks, and cognitive skills. When feedback capacity is high, a society can spot a housing market distortion, an integration challenge, or a security environment shift while it is still manageable — and can respond with measures calibrated to the scale of the emerging problem rather than the scale of the eventual crisis. When feedback capacity is low, the same signals travel slowly, if at all. They are filtered, softened, and sometimes actively suppressed. By the time they become undeniable, the window for calibrated response has closed, and the only remaining option is the kind of compressed, reactive correction the Swedish Drift Loop describes.

Sweden does not lack competence. Its institutions are staffed by capable, dedicated professionals. Its civil service is comparatively free of corruption and political interference. Its political culture, while increasingly strained, remains more deliberative and evidence-based than most. The deficit is not in the quality of the people or the integrity of the processes. It is in the architecture that determines what those people and processes can see.

This architecture has three specific, interrelated mechanisms. Each is a structural feature of the Swedish governance system — not a policy choice that can be reversed by a change of government, but a deep property that shapes what signals arrive, which signals are suppressed, and where the capacity to respond is located. Together, they produce the feedback deficit. And together, they explain why Sweden, for all its extraordinary strengths, keeps discovering its problems after they have already become crises.

2.2 The Data Archipelago: Why Sweden Cannot See Itself

Sweden possesses one of the world's most powerful tools for systemic sensing: the *personnummer*. Since 1947, this personal identity number has been assigned to every resident, creating a unique identifier that spans every interaction with the state — birth, education, healthcare, employment, taxation, social services,

criminal justice. In principle, the *personnummer* could provide a unified, longitudinal view of how individuals and communities move through Swedish society, how outcomes connect across domains, and where stress is accumulating.

In practice, it does not. The agencies that hold this data are legally and culturally siloed. The Police cannot routinely access school records. Social Services cannot see health data. The Tax Agency cannot share with integration services. The Migration Agency's data is walled off from the municipalities that are responsible for receiving and integrating the people it processes. Each agency operates its own databases, governed by its own interpretation of

sekretesslagen

— the Public Access to Information and Secrecy Act — and its own institutional culture of data protection.

This fragmentation is not an accident. It is the product of a deliberate and, in many respects, admirable commitment to privacy. Sweden has chosen to protect the individual from the state's gaze by ensuring that no single authority can assemble a complete picture of any citizen's life. The

sekretesslag

framework, reinforced by the EU's General Data Protection Regulation, creates a high bar for cross-agency data sharing. The intention is to prevent surveillance. The effect is also to prevent sensemaking.

This is the **Data Archipelago**: a landscape of information islands, each well-governed internally, but with no bridges between them. The state can process a citizen's tax return in seconds. It cannot connect the dots between school truancy in a specific neighbourhood, local tax base erosion in the same municipality, and emerging gang recruitment patterns that draw on both. It can see each data point individually — a child missing school, a municipality losing revenue, a police report of criminal activity — but it cannot see the pattern they form together, because no single agency is responsible for looking.

This is the deeper error beneath the surface of Sweden's celebrated digital transformation. Sweden has built one of the world's most advanced **transactional** digital states. BankID allows citizens to authenticate themselves seamlessly across hundreds of services. Swish enables instant payments. Tax filing is so automated that for many citizens it requires nothing more than a text message confirmation. This is genuine achievement, and it is rightly admired. But transactional digitization is not the same as systemic visibility. The state has digitized *efficiency* — the point-to-point interactions between citizen and agency — without digitizing *sensemaking* — the node-to-network patterns that emerge only when signals from multiple agencies are connected.

The result is a paradox that captures the Competence Trap in microcosm: Sweden is simultaneously one of the most digitized and one of the most information-fragmented governance systems in the developed world. It has built the hardware for the 21st century. It has retained the information architecture of the 20th. The

personnummer

is a sensing tool of immense potential. The legal and institutional framework around it ensures that the tool can only be used for transactions, never for sight.

2.3 Jantelagen as a Variance-Minimization Algorithm

If the Data Archipelago is the outer architecture of the feedback deficit, the inner architecture is cultural. And the culture has a name, though it is more often invoked in self-deprecating jokes than in serious analysis.

Jantelagen — the Law of Jante — originates from a 1933 novel by Aksel Sandemose, in which a fictional Danish town enforces an unwritten social code:

> *You shall not believe that you are anything. You shall not believe that you are better than us.*

The ten rules are a caricature of Scandinavian small-town conformity, but they capture something real. Over decades, Jantelagen has become shorthand for a cultural tendency to discourage individual exceptionalism, to value collective consensus over personal ambition, and to treat visible deviation from the norm with quiet suspicion.

In the 20th century, this cultural code functioned as a highly effective variance-minimization algorithm. It suppressed negative outliers — extreme poverty, conspicuous inequality, the kind of social exclusion that produces visible disorder. It produced a society with a remarkably narrow distribution of outcomes: a massive, stable middle class, low crime, high social cohesion. This was not a side effect of the welfare state. It was a co-productive condition — the welfare state worked in part because the culture already suppressed the extremes it was designed to manage.

But a variance-minimization algorithm that suppresses negative outliers also suppresses positive ones. It suppresses the entrepreneur who challenges established business models, the researcher who questions disciplinary orthodoxies, the civil servant who argues that a cherished policy is no longer working, the citizen who insists that the consensus is wrong. In a stable environment, this suppression is manageable — the cost of the suppressed positive variance is outweighed by the benefit of the suppressed negative variance. In a rapidly changing environment, the calculus shifts. A system that needs to adapt needs access to outliers — to the early signals that something has changed, to the unconventional experiments that might reveal a better path, to the uncomfortable voices that insist on being heard even when the consensus prefers silence.

Sweden's innovation paradox — the fact that a nation that produces Spotify, Skype, and Minecraft seems to struggle with translating that energy into broad-based institutional adaptation — is partly explained by this mechanism. The culture can tolerate outlier creativity in the private sector, where it is safely contained within the economic sphere. It struggles to tolerate it within the public sector, where it would challenge the consensus that holds the institutional architecture in place.

The deeper mathematical error embedded in this cultural code is what might be called the **Mean-Reversion Fallacy**. The Swedish institutional operating system assumes that disruptions are cyclical and will eventually return to a stable equilibrium. A spike in gang violence is treated as a temporary disturbance that will subside

once the underlying conditions improve. A decline in school performance is attributed to transient factors that will revert to the mean. The appropriate response, in this framework, is patience, study, and incremental adjustment.

This assumption is not irrational. It has been correct for many disturbances over many decades. But it is structurally blind to exponential or cascading phase shifts — phenomena that do not revert to a mean because the mean itself has moved. When a critical mass of young men in a marginalized neighbourhood joins criminal networks, the resulting violence is not a temporary deviation from a stable baseline. It is a new regime, with its own self-reinforcing dynamics, and it requires a qualitatively different response. When demographic replacement in a municipality occurs faster than the housing and education systems can absorb, the resulting segregation is not a fluctuation. It is a structural change. When climate-driven events accelerate beyond the pace of historical variation, the assumption of reversion becomes actively dangerous.

The Mean-Reversion Fallacy connects Jantelagen directly to the Competence Trap. A system that is performing well assumes that disturbances will be temporary because they have been temporary in the past. It filters out the signals that would indicate otherwise. When those signals finally become too large to ignore, the system is already in a different regime, and the available responses are limited to the reactive, compressed corrections that the Drift Loop describes.

The tragedy of this mechanism is that it is not malicious. It is the natural expression of a high-trust, consensus-oriented society that has been well-served by its cultural habits. The officials who filter out uncomfortable signals are not suppressing dissent because they fear it. They are doing so because the culture teaches them that the outlier is probably wrong, that the consensus is probably right, and that patience will probably be rewarded. These are not unreasonable priors. But when the environment changes, they become a cognitive filter of exquisite efficiency — one that screens out precisely the signals the system most needs to hear.

2.4 The Municipal Trap: Responsibility Without Capacity

Sweden is often described as a decentralised state. The 290 *kommuner* (municipalities) and 21 *regioner* enjoy constitutional protection under the Instrument of Government, which guarantees local self-government. Municipalities levy their own income taxes, set their own budgets, and are responsible for some of the most essential public services: schools, elderly care, social services, spatial planning, and — increasingly — the frontline of integration and public safety.

This decentralisation is real, and it is one of the strengths of the Swedish model. It places decision-making authority close to the citizens affected by those decisions. It allows for variation in local priorities and approaches. It creates, in principle, a distributed network of governance laboratories that can learn from one another's successes and failures.

But the decentralisation is incomplete in ways that matter profoundly for feedback capacity. This is the condition of **formal subsidiarity, functional centralisation** — a system that devolves responsibility downward while retaining authority and fiscal control at the centre.

The most direct mechanism is fiscal. Municipalities rely heavily on local income taxes, which are levied at a flat rate determined by the municipal council. In a municipality with a strong tax base — high employment, high incomes, a growing population — this system works. The municipality can fund its services and invest in the future. In a municipality with a weakening tax base — an ageing population, out-migration of working-age residents, higher unemployment, higher service needs — the same system becomes a trap. The demands on the municipality's services increase precisely as its capacity to fund them declines. The national equalisation system (

kommunalekonomisk utjämning

) redistributes resources between municipalities to compensate for these differences, but it cannot fully offset the structural dynamics that produce them.

The result is that the level of government closest to the most complex, fastest-changing problems — the municipalities that are on the frontline of integration, housing, crime prevention, and social cohesion — is also the level with the most constrained capacity to experiment, adapt, and respond. A national policy framework, designed in Stockholm, sets the broad parameters. The municipality is responsible for implementation. But its fiscal room, its legal authority to deviate from national standards, and its institutional capacity to run genuine experiments are all tightly bounded.

This creates a specific kind of feedback failure. Municipal officials are often the first to see emerging problems. A school principal notices changing patterns of attendance and performance. A social worker sees family dynamics that indicate deepening exclusion. A local police officer observes the early stages of criminal network formation. These signals exist at the municipal level. But the capacity to aggregate them, to connect them across the silos of education, social services, and public safety, and to respond with the resources and experimentation authority the situation requires — that capacity lies at the national level, separated from the signals by distance, time, and the filtering mechanisms of the Data Archipelago and the consensus culture.

The signals travel upward — slowly, partially, stripped of their local context. The response travels downward — uniform, aggregated, calibrated to the national mean. The municipality that saw the problem first is left with the consequences of a response designed for an average that does not match its reality.

This is not an argument against national standards or redistribution. It is an argument that the current architecture of subsidiarity is incomplete. If municipalities are to be the sensing organs of the Swedish state — and they are, in practice, the level where most complex social problems first become visible — then they need the fiscal, legal, and institutional capacity to respond to what they sense. Without that, the feedback

loop is broken. The sensors are in place. The wiring to the central processor is intact. But the processor is too far away, and the local actuators have been deliberately weakened by a system that centralises authority while decentralising responsibility.

2.5 How the Three Mechanisms Reinforce Each Other

The Data Archipelago, the variance-suppressing culture, and the municipal capacity trap are not independent problems. They interact, and their interaction is what produces the systematic time lags that define the Swedish Drift Loop.

A signal emerges somewhere in the system — perhaps a local police officer notices a pattern of recruitment into criminal networks involving teenagers from specific schools. Under ideal feedback architecture, that signal would be connected to school attendance data, social services records, and municipal tax base projections. The pattern would be visible. The municipality would have the fiscal and legal authority to respond with an integrated intervention — coordinating schools, social services, police, and civil society — without waiting for national approval. The culture would reward the officer for surfacing an uncomfortable truth rather than punishing them for deviating from the consensus that the neighbourhood is improving.

Under the current architecture, something closer to the opposite occurs. The police officer's signal stays within the police agency silo. The school data sits in the education silo. The social services data sits in the social services silo. None of the three agencies sees the full picture. The municipality, which might be positioned to coordinate a response, lacks both the fiscal room and the legal authority to act outside the parameters set by national policy frameworks. And the dominant culture, with its preference for consensus and its assumption that disruptions will revert to the mean, provides no incentive for the officer to escalate the signal — and some implicit discouragement. The reasonable assumption is that the problem, while worrying, is probably temporary and will correct itself with the right mix of existing programmes.

Years pass. The signal, unfelt and uncoordinated, becomes a pattern. The pattern becomes a crisis. The crisis forces a response — national task forces, emergency funding, legislative urgency — that is calibrated to the scale of the crisis rather than the scale of the original signal. The response is competent, but compressed and reactive. The underlying architecture that prevented the signal from being detected, shared, and acted upon earlier remains unchanged. And the system, having weathered another storm, returns to its confident equilibrium, slightly more eroded than before.

This is the feedback deficit at work. It is not a failure of competence, resources, or intention. It is a structural property of an architecture that was designed for stability in a slower, simpler environment — and that has not been upgraded to match the complexity and speed of the environment it now inhabits. The next section describes what that upgrade would look like.

Here is the draft of Section 3, "What Building Feedback Infrastructure Looks Like," describing the concrete investments that would upgrade Sweden's capacity to sense, share, and act on signals.

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3. What Building Feedback Infrastructure Looks Like

The feedback deficit diagnosis carries a practical implication: if Sweden's core problem is not a lack of competence but an architecture that suppresses, silos, and delays the signals needed for adaptation, then the central task is not to produce another round of policy reforms. It is to build the infrastructure that makes early detection, honest acknowledgment, and rapid response possible — and then to let that infrastructure reveal what needs doing.

This section describes what that investment looks like in practice. It is organised around four categories: reconnecting the nervous system to move from transactional efficiency to systemic sensemaking, building structured disagreement into the operating culture, giving municipalities the real autonomy to match their responsibilities, and creating living testbeds where the new feedback architecture can prove itself. None of these are sectors. None belong to a single ministry. They are the enabling substrate on which Sweden's next chapter of institutional adaptation depends.

3.1 From Transactional to Sensemaking: Reconnecting the Nervous System

If the Data Archipelago is the outer architecture of the feedback deficit, the highest-return investment Sweden can make is to build bridges between the islands — not by dismantling privacy protections, but by designing an information architecture that makes privacy and systemic visibility compatible for the first time.

The goal is not a central surveillance database. The goal is a **federated sensemaking infrastructure**: a network of secure, privacy-preserving data-sharing protocols that allow agencies to connect signals across silos without creating a single point of surveillance or control. This is technically feasible. Modern cryptographic techniques — differential privacy, secure multi-party computation, zero-knowledge proofs — allow data to be queried and patterns to be detected without raw, personally identifiable information ever leaving its home agency. The technology exists. What has been missing is the institutional will and the legal framework to deploy it for systemic sensing rather than point-to-point transactions.

A concrete first step is a **National Signal Integration Framework**: a legal and technical architecture that authorises and enables cross-agency data sharing for specific, high-priority sensemaking purposes — integration outcomes, school-to-work transitions, early warning for criminal network involvement, public health vulnerability — under strict privacy-by-design principles. This would not give any agency unrestricted access to another's data. It would create a protocol through which specific questions could be asked — "for

young people in municipality X who interact with both social services and the police, what are the typical trajectories?" — and answered without compromising the privacy of the individuals concerned. The Framework would be overseen by an independent integrity authority, with transparent auditing and a mandate to ensure that the infrastructure is used for sensemaking, not surveillance.

Alongside this, Sweden should invest in a **Societal Sensing Dashboard**: not a centralised control room for the prime minister's office, but a distributed, publicly accessible platform that visualises cross-domain patterns at municipal, regional, and national scales. The dashboard would not replace agency-specific metrics. It would reveal the patterns that no single agency can see. A municipality could see how its housing development patterns correlate with school segregation. A region could see how labour market shifts interact with public health outcomes. Citizens could see how their community is changing — not through an annual report published two years after the fact, but in near real-time, with the kind of transparency that builds trust rather than eroding it.

This is the shift from the transactional state to the **sensemaking state**. The transactional state processes your tax return in seconds. The sensemaking state connects your child's school outcomes to the housing market dynamics shaping your neighbourhood and the labour market your child will enter — not to surveil, but to understand, and to act before patterns become problems.

The investment is not primarily financial. The technology is well-understood, and Sweden already possesses the foundational infrastructure — the *personnummer*, the high-quality administrative registers, the world-class digital identity layer — that most nations lack. The binding constraint is legal and cultural: the *sekretesslag* framework, the institutional habits of data hoarding, and a backlog of legitimate privacy concerns that must be addressed rather than overridden. The path forward is not to abandon privacy but to make it the design requirement of a new architecture. Sweden can be the first nation to demonstrate that privacy and systemic sensemaking are not in tension — that the same cryptographic infrastructure that protects the individual from the state's gaze can also give the state the sight it needs to serve the individual effectively.

3.2 Structured Disagreement: Deliberative Infrastructure for Productive Conflict

If the Data Archipelago is the outer architecture of the feedback deficit, the inner architecture is the suppression of variance — the cultural and institutional filtering that screens out uncomfortable signals before they reach decision-makers. Addressing this requires more than exhortations to "speak up." It requires building institutional mechanisms that make productive conflict a structured, rewarded part of the governance process.

The first mechanism is a network of **standing citizen deliberative bodies** at municipal and regional levels. These are not one-off consultations or advisory panels that the executive can ignore. They are permanent assemblies of randomly selected citizens, given time, information, and professional facilitation, with a statutory right to a formal government response. If a citizens' assembly in a municipality recommends a different approach to housing integration, the municipal council must respond publicly, explain its reasoning, and — if it rejects the recommendation — justify the rejection in terms that the assembly can scrutinise. This is not a veto. It is an accountability mechanism that forces the system to engage seriously with signals from outside its own institutional filters.

Sweden has experimented with citizens' assemblies before — most recently a national climate assembly — but these have been ad-hoc, consultative, and peripheral to the actual decision-making process. The upgrade is to make them permanent, multi-level, and embedded in the governance architecture. A municipality with a standing deliberative body has a built-in channel for surfacing local signals that would otherwise be suppressed by the consensus culture. A region with such a body has a mechanism for processing the trade-offs — between energy development and environmental protection, between housing density and community character — that are currently resolved through expert-led processes that exclude the affected populations.

The second mechanism is institutionalised **red team functions** within public administration. A red team is a unit whose explicit role is to challenge the prevailing consensus — to argue that a cherished policy is failing, that an emerging risk is being underestimated, that a comfortable assumption is no longer valid. Sweden's agencies already contain some of this capacity; various *utredningar* (official inquiries) can serve a similar function. But the red team concept embeds it permanently, rather than commissioning it episodically, and gives it the institutional protection to speak uncomfortable truths without career damage. The Swedish tradition of *tjänstemannansvar* — the professional responsibility of civil servants — provides a cultural foundation for this approach. The red team is not disloyal. It is performing a function essential to the health of the system: testing the consensus against reality.

The third mechanism is **futures literacy embedded in education and public service training**. Futures literacy — defined by UNESCO as the ability to understand the role of the future in what we see and do — is not about prediction. It is about expanding the repertoire of plausible futures a society can imagine, and thereby expanding the range of actions it can take in the present. Finland has pioneered this approach with its Committee for the Future in Parliament and nationwide futures literacy programmes. Sweden, with its strong educational infrastructure and its cultural orientation toward long-term thinking, is well-positioned to follow. Embedding futures literacy in teacher training, civil service education, and municipal planning processes would gradually shift the operating system from reactive to anticipatory — from a system that is perpetually surprised by events to one that has rehearsed multiple possibilities and can recognise emerging patterns before they become crises.

These three mechanisms — deliberative bodies, red teams, futures literacy — share a common purpose. They are not designed to destroy consensus. They are designed to make consensus *earned* rather than assumed — the product of genuine deliberation and rigorous challenge rather than the suppression of dissent. In a high-

trust society, this is a delicate cultural operation. The goal is not to import the adversarial political culture of other democracies. It is to give the existing Swedish commitment to *saklighet* — fact-based, rational deliberation — the institutional architecture it needs to function in a more complex world.

3.3 Territorial Capacity 2.0: Real Autonomy for Kommuner

The Municipal Trap — formal subsidiarity paired with functional centralisation — is the third pillar of the feedback deficit. Addressing it requires more than tinkering with the equalisation formula or adding another earmarked grant. It requires a structural shift in how authority, resources, and accountability are distributed between the centre and the periphery.

The first upgrade is **genuine fiscal autonomy**. Municipalities should have a tax base sufficient to fund their mandated responsibilities, and the equalisation system should compensate for structural differences without creating dependency. This is not a call to abolish the *kommunalekonomisk utjämning* — the principle of territorial solidarity is one of the achievements of the Swedish model. But the current system, combined with detailed national regulation of service standards, leaves municipalities with little room to set their own priorities. A municipality that wants to invest more in preventative social work and less in acute interventions should be able to make that trade-off — and be accountable to its citizens for the results.

The second upgrade is **safe-to-fail experimentation authority**. Municipalities need the legal right to test alternative approaches to integration, housing, education, and service delivery without seeking permission from Stockholm. The mechanism already exists in embryonic form: *försöksverksamhet* — experimental activity — can be authorised by the government for specific purposes. But the process is slow, narrow, and politically contingent. A general Experimentation Act — a *försöksverksamhetslag* — would give municipalities a standing right to propose and implement bounded experiments, with transparent evaluation and a clear pathway for scaling what works. The central state's role shifts from gatekeeper to enabler: setting the parameters within which experimentation is safe, providing the evaluation infrastructure, and ensuring that successful experiments are visible to other municipalities.

The third upgrade is **asymmetric capacity building**. Not all municipalities are equally positioned to take advantage of greater autonomy. Some have strong administrative capacity, dense civic networks, and a history of innovation; others are struggling with depopulation, skills shortages, and institutional fatigue. An autonomy framework that treats all municipalities identically risks widening the gap between the capable and the struggling. The solution is not to withhold autonomy from those who need it most — it is to pair autonomy with capacity-building support, so that municipalities at different starting points can build toward genuine self-governance over time. This is the principle of asymmetric devolution, applied at the sub-national level: different municipalities get different degrees of autonomy based on their demonstrated capacity to use it well, with a transparent pathway for increasing that capacity and the rights that accompany it.

The northern pilot regions — Norrbotten and Västerbotten — exemplify both the potential and the challenge. These regions are at the centre of Sweden's green industrial transition: green steel, battery production, electrification. The investments are massive, the stakes are national, and the consequences — for Sami land rights, for local labour markets, for municipal services — are intensely local. A municipality like Kiruna or Skellefteå is expected to manage the local dimensions of a transformation that is being driven by national and global forces. Under the current architecture, it has limited fiscal and legal capacity to do so. Under an upgraded architecture, it would be a laboratory for integrated territorial governance — energy transition, housing, education, and social cohesion managed as a single design challenge, with the municipality as the coordinating authority.

These three upgrades — fiscal autonomy, experimentation authority, asymmetric capacity building — are not a rejection of the Swedish model. They are its logical extension. The

folkhemmet

was built by municipalities that had genuine authority and experimented with different approaches to social welfare, housing, and public health. The centralisation of the late 20th century was a response to the complexities of a modern industrial economy. The task now is to restore the balance — to give the periphery the tools it needs to sense and respond, while maintaining the solidarity mechanisms that keep the system together.

3.4 Living Testbeds: Where Feedback Proves Itself

Capacity does not develop in the abstract. It develops through application — through the attempt to solve real, pressing problems in real places, using the new sensing and deliberative architecture together. Sweden needs a portfolio of integrated testbeds where the feedback infrastructure can be demonstrated, refined, and made visible to the rest of the country.

These testbeds are not "sectors" to be funded. They are spatial arenas — specific territories, at the municipal or sub-regional scale — where the three upgrades described above are combined and tested simultaneously. The goal is to create visible, documented examples of what a high-feedback governance system looks like in practice, and to let that evidence do the work of persuasion.

Energy Transition and Territorial Coherence. The green industrial transformation in Norrbotten and Västerbotten is the most ambitious economic restructuring Sweden has undertaken in generations. It will bring thousands of new workers into communities that currently lack the housing, schools, and services to receive them. It will put pressure on Sami reindeer herding lands and on local environmental systems. It will create opportunities and tensions that cut across every policy silo. A feedback-oriented approach would designate a handful of municipalities in these regions as integrated transition laboratories — with the data-sharing infrastructure, the deliberative bodies, and the fiscal and experimentation authority to manage the

transition as a single, place-based challenge. The national government sets the carbon targets and provides the investment framework. The municipality decides how to meet the targets in its specific context, with continuous feedback from citizens and real-time data on outcomes.

Housing Integration as a System Challenge. Sweden's housing market is among the most dysfunctional in Europe, with waiting lists for rental apartments stretching for years in major cities and segregation hardening across urban areas. A feedback-oriented approach would select a few municipalities — perhaps one growing city, one stable mid-sized town, one declining rural community — and empower them to design integrated housing, transport, and education strategies. The data infrastructure would connect housing allocation data to school performance, labour market access, and health outcomes, making visible the systemic interactions that are currently invisible. A standing citizens' assembly would deliberate on the trade-offs — density versus sprawl, new construction versus renovation, social mixing versus community stability — and produce recommendations with a right to a formal municipal response. The experimentation authority would allow the municipality to test alternative approaches to land use, rent regulation, and social housing that are currently blocked by national frameworks.

School Reform as a Feedback Laboratory. Sweden's school system has undergone multiple national reforms over the past three decades, each hotly debated, none producing clear and sustained improvement in equity or outcomes. A feedback-oriented approach would designate a few municipalities as *skolkommuner* with the authority to experiment with alternative governance models — teacher training, curriculum design, school organisation — within a framework of national learning goals. The data infrastructure would track outcomes not just as annual aggregate scores but as longitudinal trajectories, connected to housing, health, and social services data. The red team function within the municipal education department would systematically challenge the prevailing assumptions — that the current model is working, that the problems are external, that the solutions are known — and produce public reports that the municipal council must address.

These living testbeds are not an exhaustive list. They are exemplars of a different way of thinking about public investment: not as the allocation of resources to predetermined programmes, but as the creation of spaces where a new governance architecture can be built, tested, and refined. In each case, the primary output is not a bridge, a turbine, or a school. The primary output is the

capacity to produce such things intelligently in the future

— the feedback loops, the deliberative habits, and the institutional confidence that make continuous adaptation possible.

What unifies these four investment domains — sensemaking infrastructure, structured disagreement, territorial autonomy, and living testbeds — is that they are all investments in the system's ability to sense and respond. They do not compete with the urgent challenges Sweden faces. They are the prerequisite for any

challenge to be met without repeating the Drift Loop that has consumed so much energy and eroded so much trust.

The next section confronts the uncomfortable reality that has been lurking beneath this discussion: even the most intelligently designed feedback investments will encounter resistance from the political immune system that the current architecture sustains. Understanding that resistance — and designing around it — is the subject to which we now turn.

This ends Section 3. If the tone and content align with your vision, we can proceed to Section 4, "The Political Immune System: Why Feedback Fails."

4. The Political Immune System: Why Feedback Fails

4.1 The Competence Trap as Immune Response

Every political order develops reflexes that protect its existing distribution of power, its settled assumptions, and its sense of itself. In Germany, the immune system is bureaucratic inertia — the multiplication of veto points that makes decisive action difficult. In France, it is the national political spectacle — an arena that amplifies conflict and consumes reform before it can take root. In Sweden, the immune system is subtler. It is **satisfied competence**.

The reflex is not aggressive. It does not denounce or obstruct. It is the calm, reasonable, evidence-backed response of a system that has every reason to believe in its own performance:

We are already among the best in the world. Our institutions are functioning. Our metrics are strong. What exactly needs fixing?

This is not a cynical posture. It is an honest expression of the Swedish self-understanding, and it is grounded in real achievement. The international rankings, the aggregate statistics, the daily experience of citizens who encounter a state that largely works — all of these provide genuine evidence that the machine is running well. The problem is not that this evidence is false. It is that it is partial. The very metrics that confirm the system's success are the metrics that make its blind spots invisible. The Competence Trap is not a failure of self-awareness. It is a structural property of a system that has optimised its sensors for the conditions it already knows how to handle.

A corollary of satisfied competence is that **failure must become visible and undeniable before it becomes discussable**. Until the evidence is overwhelming — until the gang violence makes international headlines, until the housing queues stretch beyond a generation, until the NATO pivot is forced by events rather than chosen by deliberation — the system defaults to the assumption that things are basically working and that deviations from the norm will correct themselves. This is not stubbornness. It is the rational inference from decades of experience in which deviations *did* correct themselves, in which the system *did* absorb shocks and return to equilibrium. The problem arises when the environment changes in ways that make that assumption obsolete, and the system's own success prevents it from noticing.

4.2 The Consensus Filter and Expert Dependence

If satisfied competence is the immune system's first line of defence, the second is a cultural filter of remarkable effectiveness: the consensus that screens out uncomfortable signals before they reach the level where they might disturb the prevailing understanding.

Swedish political culture prizes *saklighet* — fact-based, rational deliberation — and *enighet* — the achievement of broad agreement. These are genuine democratic virtues. They prevent the kind of tribal polarisation that paralyses other political systems. They create space for long-term, evidence-based policy-making. They underpin the high trust that makes the Swedish model possible. But they also create a specific vulnerability: when the consensus is wrong, or when it is right but incomplete, the mechanisms for correcting it are weak, because the culture treats deviations from the consensus as probably erroneous.

This is not a conspiracy of silence. It is a social dynamic. The civil servant who suspects that an integration programme is failing faces a high burden of proof — not because anyone has ordered them to be silent, but because the institutional culture expects them to have overwhelming evidence before challenging a policy that commands broad political and expert support. The researcher whose findings contradict the prevailing narrative faces implicit scepticism, not because the research community is dishonest, but because the prior probability assigned to outlier findings is low. The journalist who wants to report on a disturbing trend must weigh the professional cost of being seen as alarmist. None of this requires formal censorship. It operates through the ordinary mechanisms of social and professional life — the raised eyebrow, the delayed promotion, the subtle preference for work that confirms rather than disrupts.

Coupled with this is a deep **expert dependence**. The Swedish state relies heavily on agencies, expert authorities, and institutional trust. Citizens trust agencies. Politicians trust agencies. Agencies trust their own expertise. This trust is largely earned — Swedish agencies are, by global standards, competent and honest. But it creates a structural vulnerability: when expert consensus is wrong or outdated, the system has weak mechanisms for detecting that quickly. There is no institutionalised function whose job is to challenge the prevailing expert view. There are no permanent red teams within agencies tasked with arguing the opposite of the consensus. There is no standing deliberative body empowered to bring citizen experience to bear on expert judgment. The result is a system that can be honestly, diligently, and competently wrong for extended periods — not because anyone is acting in bad faith, but because the architecture assumes that expert consensus is reliable and provides no systematic way to test it.

The immigration debate provides the paradigmatic case. For years, signals from municipalities — from teachers, social workers, police officers — indicated that integration outcomes were diverging from the official narrative. These signals were fragmented (each trapped in its own agency silo), culturally suppressed (deviating from the consensus carried social cost), and institutionally filtered (expert bodies produced reassuring aggregate statistics that obscured local variation). By the time the signals became undeniable — when gang violence, segregation, and political polarisation forced their way into the national conversation — the window for gradual, calibrated response had long since closed. The debate erupted in a form that was more polarised, more painful, and less productive than it would have been if the signals had been acknowledged earlier. The consensus filter did not prevent the conversation. It delayed it until the only possible conversation was a crisis.

4.3 The Agency Silo as Institutional Defence

The third line of the immune system is structural: the agency silo itself functions as a defence mechanism against inconvenient signals that cut across institutional boundaries.

Swedish agencies are, by design, autonomous. They are not subject to direct ministerial control in individual cases — a constitutional protection against political interference that is one of the strengths of the Swedish model. Each agency has its own mandate, its own budget, its own professional culture, and its own interpretation of what constitutes success. This autonomy creates islands of competence and integrity. It also creates islands of information, each self-contained and self-referential, each with its own metrics that confirm its own performance.

When a signal emerges that cuts across agency boundaries — a pattern of school failure that connects to housing segregation, which connects to labour market exclusion, which connects to criminal network recruitment — no single agency is responsible for seeing it. Each agency sees its own slice: the school sees falling grades, the housing authority sees long waiting lists, the police see gang involvement, the social services see family breakdown. Each slice, viewed in isolation, is concerning but manageable. The pattern that emerges when the slices are connected — a systemic failure of integration that no single programme can address, and for which no single agency is accountable — is structurally invisible. The agency silo is not designed to hide this pattern. It is simply not designed to look for it. The architecture does the filtering without anyone having to decide to filter.

Moreover, agencies have institutional interests in maintaining their own informational sovereignty. Data shared is control relinquished. An agency that opens its databases to cross-agency sensemaking opens itself to the possibility that patterns will be discovered that reflect poorly on its performance, or that imply responsibilities beyond its current mandate. No agency director needs to consciously obstruct data sharing for the effect to occur. It is sufficient that the legal framework makes sharing difficult, that the privacy culture makes it fraught, and that the institutional incentives make it unrewarding. The Data Archipelago is self-reinforcing.

When a cross-agency signal does eventually become too large to ignore, the typical response is to create a new coordinating body, a new task force, a new national strategy — which often adds another layer of coordination on top of the existing silos without changing the silo structure itself. The underlying information architecture remains intact. The agencies continue to operate with their own data, their own metrics, their own cultures. The new coordinating body lacks the data access and the institutional authority to do more than write reports. The loop closes. The next cross-agency signal will follow the same path from fragmentation to crisis.

4.4 The Narrative Strategy

Given the immune system described above, the way the feedback agenda is

talked about

is not peripheral to its success. It is central. A reform proposal that announces itself as a critique of the Swedish model — that frames the Data Archipelago as a failure, Jantelagen as a pathology, the Municipal Trap as a betrayal of subsidiarity — will trigger every immune response simultaneously. It will be dismissed as alarmist, as a misunderstanding of Swedish achievements, as an import of foreign anxieties that do not apply to a society that remains, by most measures, among the most successful on earth.

The task, therefore, is to frame the agenda not as a rupture but as a **continuation** — the same pragmatic, evidence-based institutional improvement that built the *folkhemmet*, now applied to the architecture of governance itself. The argument is not that Sweden has failed. It is that Sweden succeeded so well at building institutions for a specific set of conditions that it now needs to upgrade those institutions to match the conditions that have since emerged. The Competence Trap is not an accusation. It is an observation that applies to all high-performing systems, and Sweden is simply far enough along the performance curve to encounter it first.

This framing must be paired with an honest acknowledgment of Sweden's genuine strengths. The high trust, the institutional capacity, the culture of rationality, the digital infrastructure — these are not obstacles to reform. They are the foundation on which reform can be built. Sweden does not need to become a different kind of society. It needs to give the society it already is the sensory architecture it currently lacks.

The narrative must also speak to each of the policy mindsets that coexist in the Swedish political landscape. To the social-democratic tradition that built the *folkhemmet*, it must say: *you succeeded by pragmatically adapting institutions to conditions. The conditions have changed. The pragmatic response is to adapt again.* To the liberal and green traditions that push for innovation and sustainability, it must say: *the structures that suppress uncomfortable signals are also the structures that suppress the experimentation needed for the green transition.* To the conservative and moderate traditions that value stability and prudence, it must say: *the greatest threat to stability is not change — it is the delayed recognition of change that has already occurred.*

The core message is deceptively simple:

> *Sweden is not broken. It is deprecating — like software that still runs but is no longer being actively maintained for the environment it is operating in. The upgrade is not a rejection of the original design. It is the continuation of the pragmatic tradition that produced it.*

This is a message that can be spoken from any political platform without contradiction. And it carries the full feedback agenda inside it.

The political immune system is powerful, but it is not omnipotent. It can be worked with, because its foundations — trust, competence, rationality — are the very resources needed for the upgrade. The next section turns to the concrete mechanisms of that work: the transition architecture that gives the feedback agenda a chance of surviving contact with the system it intends to upgrade.

5. Working with the Grain: Transition Architecture for Sweden

5.1 The Principle: Start Where Trust Is High

Every transition architecture must be matched to the immune system it navigates. In Germany, the strategy is to bypass bureaucratic inertia — to build capacity beneath the threshold of political controversy, where administrative modernisation can proceed without triggering the full coordination machinery. In France, the strategy is to bypass the national political spectacle — to start in low-visibility zones where results can be demonstrated before the arena consumes them. In Sweden, the strategy is different. It is to work

with

the existing trust, not around it.

Sweden's immune system — satisfied competence, the consensus filter, the agency silo — is not a hostile adversary. It is a product of the same cultural and institutional strengths that make Sweden governable. High trust, evidence-based policy-making, professional autonomy, and a preference for consensus are not obstacles to adaptation. They are the conditions under which adaptation must occur. The task is not to defeat them but to redirect them — to use the trust to have honest conversations, to use the evidence culture to demand better sensing, to use the professional autonomy to create protected spaces for experimentation.

This principle has a practical consequence: reform in Sweden should not be framed as an emergency. It should be framed as an upgrade — the kind of continuous improvement that Swedish institutions already pride themselves on. The tone should be calm, evidence-rich, and forward-looking. The emotional register is not *we must act before it's too late* but *we have an opportunity to build on our strengths before the environment shifts further.* This is not spin. It is strategic honesty. The Competence Trap is real, but Sweden genuinely does have more time and more trust to draw on than most nations. Using that time wisely is the point.

The architecture that follows — municipal Trojan horses, cross-silo data covenants, safe-to-fail pilots, and scaling by attraction — is designed to operate within this principle. Each mechanism works with the grain of Swedish institutions rather than against it. Each begins below the threshold of national political controversy, in the spaces where municipalities and agencies already have the authority and the relationships to act.

5.2 Municipal Trojan Horses

The most effective vehicle for upgrading Sweden's feedback architecture is the municipality. The

kommun

is already the level where complex social problems first become visible, where services touch citizens directly, and where the gap between responsibility and capacity is most acutely felt. It is also a level of governance that Swedes trust — local government typically enjoys higher confidence than national institutions — and where experimentation can occur without immediately becoming a national political proxy war.

The term "Trojan Horse" is used here deliberately, not to imply deception, but to name a strategy: an initiative whose surface appearance is legible and acceptable to the existing system, while its deeper logic builds the new feedback architecture. For Sweden, the wrapper is municipal innovation and administrative modernisation — goals that no political party opposes and that fit comfortably within the pragmatic tradition.

Consider a concrete example. A group of municipalities — perhaps five to seven, diverse in size, geography, and economic base — could form a **"Framtidskommuner" (Future Municipalities) Network**. The stated purpose would be straightforward: to pioneer more integrated, data-informed approaches to complex local challenges, to share learning across municipal boundaries, and to provide a testbed for administrative practices that could eventually be adopted more broadly. The language is the language of *verksamhetsutveckling* — operational development — and *evidensbaserad praktik* — evidence-based practice. It is the language that Swedish public administration already speaks.

Inside this wrapper, the Framtidskommuner would carry a more transformative payload. They would be authorised to implement cross-agency data-sharing agreements under the privacy-by-design framework described in Section 3. They would establish standing citizens' deliberative bodies with formal response obligations. They would receive the fiscal and legal flexibility to experiment with integrated governance approaches — treating housing, education, social services, and public safety as a single design challenge rather than separate silos. And they would be evaluated not primarily on traditional output metrics, but on feedback velocity: how quickly signals are detected, shared, and acted upon.

The key is that the Framtidskommuner would be

voluntary

. No municipality would be required to participate. Those that choose to — and there are already municipalities, across the political spectrum, that are acutely aware of the gap between their responsibilities and their capacities — would be self-selected for readiness. Their participation would be a signal of local political will, which provides cover for the national government to grant the necessary exemptions and resources. The dynamics of scaling by attraction begin with the first movers.

5.3 Cross-Silo Data Covenants

The Data Archipelago is reinforced by a legal framework that makes data sharing difficult and a professional culture that makes it unrewarding. Changing the legal framework nationally is a multi-year project that will require careful legislative work and broad political consensus. In the meantime, much can be achieved through voluntary, purpose-specific agreements between agencies at the municipal and regional level.

A **cross-silo data covenant** is a formal agreement between two or more public agencies to share specified categories of data for a specified sensemaking purpose, under specified privacy protections, with transparent governance and external oversight. The covenant is not a blanket authorisation. It is a precise instrument: *For the purpose of understanding how school trajectories interact with social services contact and criminal justice involvement in municipality X, agencies A, B, and C agree to share data fields Y and Z, under protocol P, with oversight by integrity authority I, for a period of T months, with public reporting of aggregate findings.*

This precision is essential. It addresses the legitimate privacy concerns that have kept the Data Archipelago in place, while creating a legal and operational pathway for the kind of systemic sensing that is currently impossible. Each covenant is a small bridge between two islands. Over time, as the bridges prove their value and their integrity, the archipelago becomes a network.

The covenants should begin with high-priority, high-consensus use cases where the cost of

not

connecting data is visible and compelling. Early warning for gang involvement is one such case: schools, social services, and police each hold partial information about young people at risk, and connecting those signals — with strict privacy safeguards — could enable interventions before criminal networks solidify. School-to-work transitions are another: connecting education data to labour market outcomes would reveal which programmes are working and for whom, enabling evidence-based adjustment. Integration outcomes are a third: connecting housing allocation, language training, employment, and health data would make visible the systemic patterns that are currently obscured.

The national government's role is to enable, not to control. It can provide a template legal agreement, model privacy protocols, and technical assistance. It can fund an independent integrity authority to oversee the covenants and build public trust. It can celebrate successful covenants and make their methods available to other municipalities. But the covenants themselves are initiated and governed locally, by the agencies that will use them. This respects the Swedish principle of agency autonomy while building the bridges that autonomy currently lacks.

5.4 Safe-to-Fail Municipal Pilots

Sweden, like most well-functioning states, has an aversion to visible failure. The pressure to deliver consistent, high-quality outcomes across all municipalities has produced a system in which deviations from national standards are treated as risks to be managed rather than experiments to be learned from. This is understandable. Citizens in Kiruna should not receive worse healthcare than citizens in Stockholm because their municipality decided to try something unconventional. But the understandable preference for consistency has a cost: it suppresses the variation that generates learning.

A **safe-to-fail pilot** is an experiment deliberately designed to overcome this aversion. It is bounded in scope — a specific municipality, a limited timeframe, a predefined set of activities. It is explicitly framed as a learning exercise, not a permanent policy change. Its participants — municipal officials, agency staff, citizen participants — are publicly assured that mixed results are expected and that honest documentation of what did not work is as valuable as evidence of what did. And it has political cover: a national government that authorises the pilot commits to protecting it from premature judgment.

The safe-to-fail framework is particularly important for the Municipal Trap. Municipalities that have been granted fiscal or regulatory flexibility need to be able to use it without fear that a single disappointing metric will trigger intervention or public criticism. The evaluation framework matters: pilots are assessed not by whether every output target is met, but by whether they generate knowledge that improves future decision-making. A pilot that reveals an unexpected obstacle —

cross-agency data sharing is harder than anticipated because of incompatible IT systems

— is a success in learning terms, even if its programmatic outcomes are mixed. This reframing must be established from the beginning.

The legal basis for safe-to-fail pilots already exists in embryonic form. *Försöksverksamhet* — experimental activity — can be authorised by the government under existing legislation. What has been missing is the ambition to use these mechanisms at a systemic rather than incremental scale, and the political will to protect the experiments long enough for their results to become visible. A dedicated *Försöksverksamhetslag* — an Experimentation Act — would provide a standing legal framework, specifying the scope of permissible experimentation, the governance and evaluation requirements, and the conditions under which successful experiments can be scaled.

The Framtidskommuner would be the first cohort of safe-to-fail pilots under this framework. Their experiences — documented transparently, evaluated independently, shared openly — would build the evidence base for broader adoption. Some experiments will succeed. Some will fail. Some will succeed in unexpected ways and fail in expected ones. The common output is learning, and learning is the foundation of the feedback upgrade.

5.5 Scaling by Attraction

The Swedish tradition of *kommunalt självstyre* — municipal self-government — provides a cultural and institutional foundation for the final element of the transition architecture. In a system where municipalities have constitutional standing and a strong identity as independent actors, scaling by central mandate is both politically difficult and operationally counterproductive. A municipality ordered to adopt a new governance approach by Stockholm will implement it with minimal commitment and maximum compliance theatre. A municipality that chooses to adopt an approach because it has seen it work in a neighbouring *kommun* will implement it with genuine ownership.

Scaling by attraction means making successful experiments visible, accessible, and easy to replicate. The national government's role is not to command but to enable: to fund documentation and evaluation, to facilitate peer-to-peer learning networks, to provide technical assistance and seed funding for municipalities that want to adopt proven approaches, and to celebrate successes publicly. The Swedish Association of Local Authorities and Regions (

Sveriges Kommuner och Regioner

, SKR) is a natural partner — an existing institution with the relationships, the legitimacy, and the convening power to facilitate horizontal learning across municipalities.

The dynamics are slow in the beginning, then accelerating. The first few Framtidskommuner demonstrate that integrated data sensing, citizen deliberation, and experimental autonomy produce better outcomes — not just on traditional metrics, but on the feedback velocity that prevents problems from compounding. A second wave of municipalities, observing the results, voluntarily adopts elements of the model. The national government, observing the second wave, adjusts the legal and fiscal framework to make adoption easier. Over time, what began as a small experiment at the periphery becomes the norm — not because anyone mandated it, but because enough actors chose it that the old way of working became harder to justify.

This is not a fast process. It will not produce dramatic headlines or visible political victories within a single electoral cycle. But it is a durable one. The changes it produces will be embedded in institutional practice, owned by the actors who implement them, and resilient to political shifts at the national level. In a high-trust, consensus-oriented society, this is the only kind of change that sticks.

The transition architecture described here — municipal Trojan horses, cross-silo data covenants, safe-to-fail pilots, and scaling by attraction — is an expression of the same pragmatic tradition that built the

folkhemmet

. It does not require constitutional revolution. It does not demand that Swedes become a different kind of people. It requires that the existing strengths — trust, competence, rationality, local self-government — be directed toward the architectural upgrade that the 21st century demands. The next section translates this architecture into a concrete first step: the Framtidskommuner proposal in full.

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6. A Concrete First Step: Framtidskommuner

6.1 The Logic of the Pilot

A framework without a first step is a thought experiment. The feedback infrastructure described in this report — the sensemaking architecture, the deliberative mechanisms, the territorial rebalancing — cannot be built everywhere at once. Attempting to impose it nationally would be to commit the very error this report diagnoses: another reform designed in Stockholm, rolled out uniformly, blind to local variation, and consumed by the immune system before it has a chance to prove itself.

The wiser path is to begin with a small number of municipalities that choose to pioneer the new architecture — municipalities that already sense the gap between their responsibilities and their capacities, that have the civic infrastructure and political willingness to experiment, and that can serve as visible demonstrations of what a high-feedback governance system looks like in practice.

This section proposes the establishment of **Framtidskommuner** — Future Municipalities. The name is deliberate. It signals continuity with the pragmatic, forward-looking tradition that built the *folkhemmet*, while pointing toward the specific upgrade that municipalities need: not more resources within the existing architecture, but a different architecture that allows them to sense, connect, and respond at the speed their challenges demand.

The Framtidskommuner are not an alternative to existing municipal structures. They are an enhancement — a set of additional authorities, capacities, and accountabilities that sit alongside the regular responsibilities of a Swedish

kommun

. They are voluntary. They are time-limited, with clear evaluation milestones and a pathway for extension or scaling. And they are designed to generate the evidence that will either validate the feedback upgrade or reveal its flaws — either outcome advances the learning.

6.2 Selection Criteria

The Framtidskommuner should not be chosen by political convenience or by a competition that rewards the most polished application. The goal is to create a credible proof of concept, and credibility depends on selecting municipalities where the challenges are real, the conditions are representative, and the local capacity to engage seriously is present.

Five criteria should guide selection, administered through an open call managed by an independent foundation or research consortium, at arm's length from government:

Problem density. The municipality should face a meaningful cluster of interconnected challenges — for example, housing segregation combined with school inequality, or rapid demographic change combined with labour market mismatch, or industrial transition combined with social cohesion stress. The point is not to find the most distressed municipality, but to find municipalities where the interconnectedness of challenges is unmistakable and the limitations of siloed approaches are visibly costly.

Existing civic infrastructure. The municipality should have a baseline of functioning institutions, active civil society organisations, and some history of cross-sector collaboration — even if fragmented. The Framtidskommun is not a state-building mission from scratch. It is an upgrade to a system that already has some capacity to absorb it. A municipality with a dense network of engaged actors — strong *föreningsliv*, collaborative political culture, professional administrative capacity — would accelerate quickly.

Political willingness. The municipal leadership — both political and administrative — must be genuinely committed to the experiment, not merely tolerant of it. This commitment must include willingness to accept public scrutiny of mixed results, to protect the pilot through its inevitable difficult phases, and to invest staff time and political capital in the new deliberative and data-sharing arrangements. The safest sign of genuine willingness is a cross-bloc commitment, ideally spanning the traditional left-right divide.

Scalability relevance. The selected municipalities should collectively represent the diversity of Swedish conditions: at least one growing urban municipality, one stable mid-sized town, one rural or remote municipality facing demographic decline, and one municipality with a high proportion of foreign-born residents. If the pilots succeed only in uniquely favourable microclimates — a wealthy suburb with no integration challenges and a homogeneous, highly educated population — their lessons will be dismissed as irrelevant to the municipalities that face the hardest problems.

Manageable scale. The municipality should be large enough to contain meaningful systemic interactions — its own housing market, its own school system, its own social services — but small enough to be governable as a single learning entity. Most Swedish *kommuner* fall naturally within this range. The very largest — Stockholm, Göteborg, Malmö — would require sub-municipal pilot zones to be manageable; this is feasible but adds complexity for the first cohort.

A transparent selection process, with published criteria, an open call, and a publicly reasoned decision, would itself be a signal of the feedback architecture at work. It would create a constituency of municipalities that have chosen to participate rather than been conscripted — an essential foundation for scaling by attraction.

6.3 Core Design Features

Each Framtidskommun would be shaped by local conditions and priorities, but all would share a set of core design features that embody the feedback upgrade.

Integrated governance mandate. The pilot municipality would receive a tailored package of regulatory flexibilities and coordination authorities that allow it to treat education, housing, social services, integration, and public safety as a single integrated design space. This does not mean abolishing existing institutional boundaries or creating a new super-department. It means giving the municipal leadership — political and administrative — the authority to coordinate across silos, to pool budgets where appropriate, and to be held accountable for cross-domain outcomes rather than silo-specific outputs. The national government sets the goals; the municipality decides how to meet them, with the flexibility to deviate from national programme specifications where it can demonstrate a reasoned alternative.

Cross-silo data-sharing infrastructure. Each Framtidskommun would implement the secure, privacy-by-design data-sharing protocols described in Section 3.1. This means connecting education, social services, police, housing, and health data — at the municipal level, with municipal governance — under a covenant agreement with independent integrity oversight. The municipality would have access to a local instance of the Societal Sensing Dashboard, providing real-time visualisation of cross-domain patterns. The goal is not surveillance; it is sight. A municipality that can see how school trajectories, housing instability, and criminal justice involvement interact in its specific neighbourhoods can intervene before patterns become crises.

Standing citizen deliberative body. Each Framtidskommun would establish a permanent citizens' assembly — *medborgarråd* — composed of randomly selected residents, stratified to reflect the municipality's demographic composition. The assembly would meet regularly, receive expert information and access to the sensing dashboard, and produce public recommendations on major municipal decisions. The municipal council would be legally obliged to respond formally to each recommendation — adopting it, modifying it, or explaining why it cannot — within a specified timeframe. The assembly would not replace the elected council. It would provide a structured, continuous channel for citizen sensemaking that complements representative democracy with participatory depth.

Fiscal and experimentation autonomy. Each Framtidskommun would receive a block grant supplement to its regular municipal budget, with minimal earmarking, to fund integrated interventions and the administrative capacity to coordinate them. It would also receive a standing experimentation authorisation — the right to test alternative approaches to service delivery, land use, or regulatory implementation without seeking case-by-case approval from national agencies, within boundaries set by the Experimentation Act proposed in Section 5. The authorisation would be subject to transparent evaluation and could be withdrawn if the municipality fails to meet the learning and accountability requirements.

Adaptive learning framework. The Framtidskommuner would be evaluated not primarily against fixed output targets — so many housing units, so many school places — but against a set of systemic capacity metrics. The most important of these is **feedback velocity**: the average time between a signal appearing in the municipality's sensing infrastructure and a coordinated response being initiated. Additional metrics include cross-silo coordination frequency, citizen trust trajectories, deliberative participation rates, and —

critically — **policy half-life**: how long a local initiative survives and remains effective before being reversed, diluted, or quietly abandoned. The evaluation would be conducted by an independent research consortium and published transparently, in formats accessible to other municipalities and the public.

6.4 Budget, Governance, and Legal Basis

Budget. The pilots should be funded generously enough to be serious but not so lavishly that their results are dismissed as the product of exceptional resources. A rough envelope of 50 to 100 million kronor per municipality per year over a five-year initial phase would be appropriate, with the majority directed toward the capacity-building infrastructure itself — the data-sharing platform, the deliberative process, the coordination staffing, the evaluation — rather than toward traditional capital projects. The total investment across five municipalities would represent a small fraction of one percent of annual municipal expenditures nationally. It is not the scale of the spending that matters. It is the permission it buys to work differently.

Governance. Each Framtidskommun would be governed by its existing municipal council, which remains the legitimate democratic authority. The national government's role is to provide the legal and fiscal framework, the technical assistance, and the political cover. An independent **Framtidskommunernas Råd** — a small secretariat, perhaps housed within SKR or a university — would facilitate peer learning, manage the evaluation contract, and ensure that lessons flow between the pilots and outward to the wider municipal sector. The governance is deliberately light. The point is to empower municipalities, not to create a new layer of oversight.

Legal basis. The constitutional foundation already exists. The Instrument of Government (Regeringsformen) guarantees municipal self-government. The Local Government Act (Kommunallagen) provides the basic framework for municipal organisation and responsibilities. What is needed is a dedicated **Försöksverksamhetslag för Framtidskommuner** — an Experimentation Act for Future Municipalities — that specifies:

- The scope of regulatory exemptions available to participating municipalities.
- The governance and accountability requirements for the data-sharing covenants and the citizens' assemblies.
- The evaluation framework and the role of the independent learning partner.
- The conditions under which the pilot status can be extended, modified, wound down, or scaled.

The Act would include a sunset clause: after five years, the pilots must either be renewed on the basis of demonstrated results or concluded in an orderly fashion. The temporary nature of the legal basis is politically protective. It assures sceptics that the experiment is bounded and reversible. And it creates a natural moment for the national conversation that scaling by attraction is designed to inform.

6.5 How to Measure Success

The success of the Framtidskommuner must be measured in terms that connect directly to the feedback deficit diagnosis — and that speak to the practical concerns of municipalities, citizens, and the national government.

Feedback velocity is the signature metric. For a sample of significant local challenges — a spike in youth crime, a housing affordability crisis, a sudden demographic shift — evaluators would track the time from first signal appearance in the municipality's sensing infrastructure to a coordinated cross-silo response. The baseline would be established by comparing similar challenges in similar non-pilot municipalities over the same period. A Framtidskommun that detects and responds in three months to a pattern that takes eighteen months to surface in a comparison municipality has demonstrated the core value proposition.

Policy half-life tracks how long local initiatives survive and remain effective. A Framtidskommun that launches an integrated housing-and-education intervention and is still running it effectively three years later, with adaptations informed by continuous sensing, has achieved a long half-life. A municipality that launches a similar intervention under conventional conditions and sees it diluted or abandoned after a year — when political attention shifts or a key official leaves — has a short half-life. The comparison reveals whether the feedback architecture produces durability.

Cross-silo coordination frequency is a simple quantitative indicator: how many joint meetings, shared projects, and co-authored analyses occur per quarter between departments that previously operated in silos. The metric is crude but revealing. A large and sustained increase suggests that the architecture is changing behaviour, not just aspirations.

Citizen trust trajectories would be tracked through municipal surveys, comparing pilot municipalities to their own baselines and to matched non-pilot municipalities. The hypothesis is that municipalities with standing deliberative bodies and transparent sensing infrastructure will show slower erosion of trust — or even trust gains — relative to the national trend. Citizens who can see that their municipality is paying attention and who have a structured channel for their voice may become more trusting, or at least less distrustful, than those who encounter the state as a distant, opaque, and unresponsive machine.

Adoption by neighbouring municipalities is the ultimate indicator of success. If the Framtidskommuner are producing visible, credible results — shorter response times, more durable policies, more engaged citizens — other municipalities will want to adopt the same architecture. The rate at which this occurs, without central mandate, is the measure of whether scaling by attraction is working.

The evaluation would be published in accessible, visual formats — public dashboards, annual learning reports, municipal peer workshops — designed to make the pilots' experience legible and usable. Transparency is the engine of scaling by attraction. The more visible the learning, the harder it becomes for

the old architecture to dismiss it.

The Framtidskommuner are a proposal, not a demand. They do not require every municipality to change, every agency to open its databases, or every citizen to join a deliberative assembly. They require only that a handful of municipalities — five, perhaps seven — be given permission to try something different, and that the rest of the country be given the opportunity to watch.

That is how the

folkhemmet

was built: not by a single national plan imposed from above, but by municipalities experimenting, learning from one another, and gradually converging on what worked. The Framtidskommuner are an invitation to renew that tradition — not because the old model failed, but because it succeeded so well that it forgot to keep looking.

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7. Coda: From Competence to Adaptability

7.1 The Wealth That Matters

Sweden is rich. Not merely in the material sense that international rankings capture, but in the deeper resources that make governance possible. It possesses one of the world's highest baseline levels of social trust. It possesses institutions that are, by global standards, competent, honest, and deeply embedded in the fabric of everyday life. It possesses a culture that values rationality, fairness, and long-term thinking. It possesses a tradition of pragmatic problem-solving that built one of the most equitable and stable societies in modern history.

These are not small things. They are the accumulated capital of generations — the

folkhemmet

that was not dreamed into existence but built, plank by plank, by municipal reformers, trade union negotiators, and civil servants who believed that good governance was a craft to be practised, not a prize to be won.

But wealth, in the sense that matters for a society's long-term flourishing, is not the stock of what has already been built. It is the capacity to build again — to sense what is emerging, to learn from what is failing, and to adapt before the window narrows. On that measure, Sweden has been drawing down its reserves — slowly, invisibly, beneath the threshold of the metrics that confirm its success.

The Competence Trap is the mechanism. The better a system performs under known conditions, the harder it becomes to detect when those conditions have changed. The metrics that confirm the machine is working are the metrics that obscure its blind spots. The trust that makes the machine governable is the trust that defers the honest conversations the machine needs to have. The success is real. The erosion is real. And the gap between them — the feedback deficit — is the quiet, dignified vulnerability of a system that still works, until some dimension of it doesn't.

7.2 The Shift

The shift this requires is subtle but profound. It is not a shift in policy, though policies will change. It is not a shift in values, though values will be tested. It is a shift in posture — from a system that is optimised to run to a system that is designed to learn.

A system optimised to run assumes that its environment is stable, its sensors are adequate, and its procedures are correct. It measures success by the consistency of its outputs and the efficiency of its processes. When disturbances arise, it treats them as temporary deviations that will revert to the mean. It filters out signals that

challenge its assumptions. It protects its consensus. It performs beautifully — within the bandwidth of the conditions it was calibrated to handle.

A system designed to learn assumes that its environment is changing, its sensors are incomplete, and its procedures will need to be revised. It measures success by the speed of its sensing and the quality of its adaptation. When disturbances arise, it treats them as potentially permanent shifts that require investigation, not patience. It amplifies signals that challenge its assumptions. It structures disagreement. It performs with less elegance, perhaps, but with greater resilience — because it is constantly updating its model of the world it governs.

Sweden does not need to become less competent. It needs to become less confident that its competence is sufficient. It needs to build the sensory architecture that reveals what its current sensors miss. It needs to give its municipalities the tools to experiment, its agencies the bridges to connect, and its citizens the channels to speak. It needs to become permeable — to the signals its success has filtered out, to the realities its metrics have obscured, to the future its competence has made harder to see.

This is not a retreat from the Swedish model. It is the next chapter of the pragmatic tradition that created it. The *folkhemmet* was not built by people who assumed their institutions were adequate. It was built by people who looked honestly at their conditions, acknowledged what was not working, and designed accordingly. The conditions have changed. The pragmatism that built the *folkhemmet* now has a new task: to upgrade the architecture so that Sweden can continue to do what it has always done best — sense, learn, and build — in a world that moves faster than its current institutions can track.

7.3 The European Dimension

Sweden does not govern alone. The three reports in this series identify complementary deficits in Europe's three most capable governance systems.

Germany suffers an execution deficit. Money and projects are available, but the administrative machinery to deploy them is fragmented and slow. Permitting takes a decade. Coordination consumes the resources it was meant to deploy. The European Union's largest economy cannot translate fiscal capacity into physical outcomes at the speed its challenges demand.

France suffers an integration deficit. Decisions are made with impressive speed and intellectual clarity, but the connective tissue to translate them into durable, locally legitimate outcomes is absent. The spectacle amplifies and consumes. Reforms are announced, contested, and withdrawn — or pushed through with such visible disregard for opposition that the legitimacy wound deepens. The EU's other indispensable power cannot sustain the decisions it makes.

Sweden suffers a feedback deficit. The system functions, but it senses too slowly. The signals that would force adaptation are filtered out by the Data Archipelago, suppressed by the consensus culture, and left stranded at the municipal level where responsibility exceeds capacity. Sweden's trajectory is not dramatic collapse but quiet erosion — a high-trust model that is gradually deprecating because the conditions it was designed for no longer fully obtain.

Together, these three deficits define Europe's adaptive capacity gap. Europe cannot execute (Germany), cannot sustain (France), and cannot sense in time (Sweden). It struggles to *decide*, *integrate*, and *anticipate* simultaneously. The deficits are distinct, but they interact. A Germany that cannot execute slows the implementation of policies that France cannot sustain and Sweden did not detect were needed until too late. A France whose decisions unravel destabilises the frameworks that German execution and Swedish sensing depend upon. A Sweden that misreads emerging risks fails to provide the early warning that might allow German coordination and French deliberation to engage before crises mature.

The repair of any one deficit benefits the others. If Sweden upgrades its feedback architecture — if it becomes the first European nation to build a genuine sensemaking state, with the data-sharing infrastructure, the deliberative mechanisms, and the municipal capacity to detect signals before they become crises — it does not merely serve its own citizens. It provides a model for what the sensing dimension of 21st-century governance can look like. And it contributes, in a concrete and measurable way, to the adaptive capacity of the European system as a whole.

7.4 A Final Word

The Swedish model was never meant to be a museum piece. It was built by pragmatists who looked honestly at their conditions, acknowledged what was not working, and designed institutions to match the world they actually inhabited. That generation did not inherit a functioning welfare state. They built it — through municipal experiments, through iterative reform, through the patient, unglamorous work of institutional craftsmanship.

The conditions that generation faced were, in many respects, more dire than anything Sweden confronts today. Poverty was deeper. Inequality was starker. The institutional infrastructure was thinner. But they possessed something that the Competence Trap has made harder to access: the willingness to see clearly, to acknowledge what was failing, and to act.

The question facing Sweden now is not whether its institutions are still capable. They are. It is not whether its citizens still trust one another and their state. For the most part, they do. It is whether the pragmatism that built the

folkhemmet

— the same clear-eyed, evidence-based, institution-building pragmatism that turned a poor, peripheral nation into one of the most successful societies in history — still has the courage to upgrade what it built.

The money is there. The talent is there. The trust, while eroding, is still there. What has been missing is the sensory architecture that would allow all those resources to see what they are facing and to act before the window narrows. This report has described what building that architecture would look like. It has named the immune system that will resist. It has proposed a path — the Framtidskommuner — that works with the grain of Swedish institutions rather than against them.

The rest is not a matter of analysis. It is a matter of choice.

Sweden does not need to become more competent. It is already among the most competent societies on earth. It needs to become more *permeable* — to the signals its success has filtered out, to the realities its metrics have missed, to the future its competence has made harder to see. The Competence Trap is real, but it is not inescapable. The first step is to see it. The second is to build the infrastructure that makes seeing continuous, shared, and actionable. The third is to trust — as the builders of the *folkhemmet* trusted — that honest, evidence-based institutional craftsmanship is still the most powerful tool a society possesses.

Afterword: A Note on This Report Itself

This report has argued that transformative ideas, to survive in a system governed by satisfied competence, must be framed as continuations rather than ruptures — as the next chapter of a pragmatic tradition rather than a critique of its achievements. It would be inconsistent not to apply that same logic to the report itself.

The argument presented here is, in its underlying structure, a systemic intervention. It sees the Swedish situation from a perspective that integrates the legitimate concerns of multiple political traditions while diagnosing the architectural gap that prevents any of them from being realised durably. But the report has deliberately avoided announcing itself in theoretical terms. It has spoken the language of state capacity, feedback loops, and institutional improvement — terms that the Swedish system can hear without immediate immunological rejection.

If you have found the argument useful, the conceptual vocabulary exists to take it further. The Spiral Dynamics framework offers a fuller map of the value systems at play in Swedish political culture. The Governance as Engineering series provides the formal, mathematical foundation for the feedback deficit diagnosis — demonstrating, with simulation-based evidence, why centralised observation architectures lose information and why distributed, polycentric sensing systems are structurally superior for multi-scale governance. The references in the appendices provide entry points.

But the report's primary purpose is not to recruit readers to a framework. It is to make one thing visible that was previously invisible: the Competence Trap at the heart of Sweden's current success, and the possibility of escaping it through the same pragmatic tradition that built the institutions now at risk. If that has been achieved, the report has done its work. What you do with that vision is, by design, up to you.

Appendix A: Value Systems and Policy Mindsets — A Guide for the Swedish Context

A Note on This Appendix

The main body of this report avoids specialised terminology from developmental psychology or cultural theory. It speaks the language of state capacity, feedback loops, and institutional improvement. This appendix offers a complementary lens for readers who wish to understand the deeper value-system dynamics at play in Swedish governance. It is optional, but it makes the report's underlying logic fully transparent.

A.1 The Basic Insight

Different groups and institutions tend to operate from different centres of gravity in how they think about governance, resources, and change. These are not personality types or party affiliations, though they correlate loosely with both. They are underlying value systems—ways of constructing what feels real, legitimate, and important.

Each value system represents a coherent response to particular life conditions. None is "better" in any absolute sense. Each has characteristic strengths that emerge under certain conditions and characteristic blind spots that emerge under others. The challenge of governance in a complex society is to integrate the legitimate concerns of multiple value systems without being captured by any single one.

The framework used here draws on Spiral Dynamics integral theory. What follows is a simplified map of the systems most relevant to contemporary Swedish governance.

A.2 The Value Systems in the Swedish Arena

Order and Stability (sometimes called "Blue") — the Constitutional State. In Sweden, this mindset expresses itself through *rättsstaten* — the rule-of-law tradition, the constitutional protection of rights, and the deep respect for due process that characterises Swedish public administration. Its strengths are procedural integrity, institutional memory, and a commitment to treating citizens equally before the law. Its blind spots include rigidity, a tendency to elevate process over outcome, and an instinct to preserve existing structures even when their function has degraded.

Achievement and Efficiency (sometimes called "Orange") — the Innovation Economy. Sweden's remarkable economic transformation from a poor agricultural nation to a high-tech export powerhouse draws on this mindset. It values competitiveness, entrepreneurship, scientific progress, and measurable results. Strengths: innovation capacity, global orientation, and a willingness to embrace technological solutions. Blind spots: externalities that fall outside market metrics, inequality that efficiency does not capture, and a

tendency to treat what cannot be quantified as unimportant. The transactional digital state—world-class at point-to-point efficiency—is an expression of this mindset operating without sufficient integration from others.

Inclusion and Care (sometimes called "Green") — the *Folkhemmet*

Ethos. This is the dominant value system of the Swedish welfare tradition: the conviction that society should protect the vulnerable, include the marginalised, and ensure that no one is left behind. It expresses itself in comprehensive social insurance, ambitious integration goals, and a foreign policy oriented toward global justice and peace. Strengths: empathy, solidarity, and a genuine commitment to human dignity. Blind spots: consensus-dependency, difficulty with hard trade-offs, and a tendency to treat the expression of inclusive values as a substitute for achieved outcomes. The suppression of uncomfortable integration signals, documented in this report, is partly a product of this mindset's reluctance to acknowledge that its aspirations are not being met.

Integrative and Systemic (sometimes called "Yellow") — the Adaptive State. This mindset prioritises functional fit, systemic awareness, and the capacity to integrate multiple perspectives without being captured by any of them. It emerges as a response to the limitations of all single-system approaches in the face of complex, interconnected challenges. Strengths: flexibility, whole-systems thinking, comfort with uncertainty and experimentation. Blind spots: can appear detached, overly intellectual, or politically unworkable to those operating from other mindsets. In Sweden, this mindset is nascent—visible in some municipal innovation work, in the design of the *försöksverksamhet* mechanisms, and in pockets of futures-oriented governance—but not yet institutionalised.

Holistic and Planetary (sometimes called "Turquoise") — the Ecological Consciousness. This mindset recognises the deep interconnectedness of all systems—ecological, social, economic, planetary—and acts from a place of long-term, holistic awareness. Sweden's cultural resources for this mindset are unusually rich: the *lagom* sensibility that values balance and sufficiency, the deep connection to nature reinforced by *allemansrätten*, and a global outlook that understands Sweden's embeddedness in larger systems. Strengths: long time horizon, comfort with complexity, and an intuitive grasp of interdependence. Blind spots: can feel abstract, ungrounded, or politically impractical to those operating from other mindsets. Sweden's potential as a Turquoise pioneer is real but currently blocked by the Competence Trap—the very success of its existing architecture prevents it from accessing the holistic sensemaking that the 21st century demands.

A.3 The Feedback Deficit as a Value-System Clash

The Swedish governance system is dominated by the interplay of the first three mindsets: the constitutional Blue that values procedure, the entrepreneurial Orange that drives efficiency, and the caring Green that sustains solidarity. Each has made essential contributions to the Swedish model. But the system lacks the integrative architecture that would allow them to sense collectively what none can see alone.

The Data Archipelago is an Orange transactional infrastructure that has not been upgraded to serve Green solidarity or Yellow systemic sensing. The variance-suppressing culture is a Green defence of consensus that has become a barrier to Yellow adaptation. The Municipal Trap is a Blue constitutional structure that has not been recalibrated to match the complexity that Orange economic change and Green social ambitions have produced.

The feedback infrastructure proposed in this report speaks to all three: it offers Orange measurable improvements in efficiency and innovation, Blue enhanced legal coherence and privacy protection, and Green genuine channels for citizen voice and social equity. The Framtidskommuner are spaces where the integration can be attempted—not by imposing a “higher” mindset, but by building an architecture that honours the strengths of all three while compensating for their blind spots.

Appendix B: International Analogues and Precedents

The proposals in this report are not without precedent. The following examples illustrate existing implementations of feedback-oriented governance reforms.

B.1 Finland: Futures Literacy and Anticipatory Governance

Finland has embedded futures thinking into government through multiple channels. The Committee for the Future in Parliament conducts foresight exercises and reviews government policy from a long-term perspective. Sitra, the Finnish Innovation Fund, has run nationwide futures literacy programmes demonstrating measurable increases in participants' sense of agency and complexity tolerance. At the regional level, anticipatory governance zones integrate futures methods into planning. The Finnish experience demonstrates that futures literacy can be systematically cultivated and that the results are tangible. For Sweden, it offers a model for the red team and futures literacy proposals in Section 3.

B.2 Estonia: Privacy-by-Design Data Infrastructure

Estonia's e-governance infrastructure processes over 99% of public services online through a unified digital identity layer, but crucially, it also implements a privacy architecture that gives citizens full transparency about who has accessed their data. The X-Road data exchange layer enables cross-agency information sharing without centralising data in a single database. This is precisely the privacy-preserving sensemaking architecture that Sweden's Data Archipelago requires. Estonia demonstrates that the technical and legal infrastructure for a sensemaking state is achievable—and that it can be built on principles that enhance rather than erode citizen trust.

B.3 Denmark: Municipal Autonomy and Asymmetric Devolution

Denmark's

kommuner

enjoy greater fiscal autonomy and experimentation flexibility than their Swedish counterparts, despite the structural similarities between the two Nordic models. Danish municipalities have broader authority to design service delivery models, set local priorities, and test alternative approaches. The Danish experience suggests that municipal autonomy does not undermine the universal welfare state—it can strengthen it by enabling context-sensitive adaptation. For Sweden, this is a direct precedent for the territorial capacity upgrades proposed in Section 3.

B.4 United Kingdom: Devolution Deals and Combined Authorities

The UK's devolution deals have created Combined Authorities with tailored powers over transport, housing, skills, and economic development in exchange for accountable governance. Greater Manchester's health and social care devolution is a leading example of integrated public service governance at the sub-national level. While the UK context differs significantly from Sweden's, the principle of asymmetric devolution—granting different levels of autonomy based on demonstrated capacity—is directly applicable to the Municipal Trap.

B.5 Taiwan: Digital Democracy Infrastructure

Taiwan's vTaiwan and Join platforms combine digital deliberation with real policy impact. vTaiwan uses structured processes of open consultation, facilitated deliberation, and consensus-seeking to develop policy proposals on contentious issues. It has produced legislation that would have been politically impossible through traditional channels. For Sweden, this demonstrates that digital tools can complement representative democracy with participatory depth—and that deliberative infrastructure can be built at scale.

B.6 Germany and France: Cross-References in the Series

The companion reports in this series identify complementary deficits. Germany's Adaptive Governance Pilot Regions address an execution deficit through territorial experimentation zones with integrated governance mandates. France's Territoires d'Intégration Adaptative address an integration deficit through low-visibility high-learning zones designed to bypass the national spectacle. The Swedish Framtidskommuner complete the trilogy: they address the feedback deficit through municipalities empowered to sense, connect, and respond at the speed their challenges demand. Together, the three proposals could form the basis for a European network of learning territories.

Appendix C: The Governance as Engineering Series Connection

C.1 The Architectural Foundation

This report draws on a deeper body of work: the Governance as Engineering series, a set of formal analyses that model governance institutions as feedback control systems using standard mathematics from control theory, information theory, and cybernetics. The series is technical; this appendix summarises its core findings in non-technical language and shows how they underpin the feedback deficit diagnosis.

C.2 The Four Papers in Brief

Paper I — Governance Stability Simulator demonstrates that centralised governance systems operate on aggregated signals that destroy spatial information. A central controller observing only the national average cannot see which municipalities are in distress and which are stable. Its interventions are simultaneously too weak for the crisis locations and too disruptive for the healthy ones. This is the formal basis for the spatial blindness that the Data Archipelago produces in the Swedish context: when agencies cannot share local data, the national level sees only aggregates, and local variation becomes invisible.

Paper II — Fractality as Stability demonstrates that no single-scale controller can stabilise a system facing simultaneous fast, medium, and slow disturbances. A controller calibrated for fast crises will oscillate in response to slow trends. A controller calibrated for slow trends will be too slow for fast crises. The only stable architecture is a fractal hierarchy of controllers, each matched to the timescale of its disturbance band. This is the formal basis for the Mean-Reversion Fallacy critique: Sweden’s institutions are calibrated for medium-frequency electoral cycles and slow consensus-building. They lack the fast sensing and response loops that exponential or cascading challenges require.

Paper III — The Observability-Democracy Connection demonstrates that citizen preferences cannot be reliably transmitted through representation chains deeper than two or three layers. Noise variance exceeds surviving signal variance, and the policy layer governs a phantom signal. This is the formal basis for the deliberative infrastructure proposed in Section 3: shortening the chain between citizen experience and policy response requires direct participatory mechanisms, not just improved representation.

Paper IV — Requisite Variety and the Commons demonstrates that governance systems with low-dimensional observation cannot stabilise high-variety resource systems. Observation dimensionality—the number of independent signal dimensions the governance system can access—is the primary determinant of commons management outcomes. This is the formal basis for the cross-silo sensemaking infrastructure: connecting school data, health data, police data, and housing data increases the observation dimensionality available to municipalities, enabling them to govern the complex social systems they are responsible for.

Paper V — The Coordination Failure Tax demonstrates that the four failure modes do not add—they multiply. A governance system exhibiting all four simultaneously is not four times worse than a well-designed one; it is categorically incapable of the functions it claims to perform. This is the formal basis for the urgency beneath the calm tone of this report: the Competence Trap is not a single vulnerability but a compounding set of structural constraints that, left unaddressed, will progressively erode the system's capacity to govern.

C.3 From Engineering Analysis to Institutional Design

The Governance as Engineering series provides the mathematical proof that the architectural constraints this report diagnoses are real and structural—not failures of will, competence, or resources, but properties of the information channels that connect governance systems to the realities they govern. The series does not prescribe specific institutional designs; it identifies the parameters that any viable design must satisfy.

This report translates those parameters into a concrete proposal for Sweden: reduce observation latency by reconnecting the Data Archipelago, increase observation dimensionality through cross-silo sensemaking, shorten the preference-transmission chain through deliberative infrastructure, and distribute governance authority across the scales at which disturbances actually occur. The Framtidskommuner are the institutional expression of these engineering requirements. They are not the only possible design, but they are a design that satisfies the constraints the formal analysis identifies—and that can be tested, evaluated, and refined through the pragmatic, evidence-based tradition that built the

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Appendix D: Anticipated Objections

D.1 “Sweden is already one of the best-governed countries in the world. Why fix what isn’t broken?”

This is the most natural response to this report, and it is precisely the Competence Trap in action. Sweden’s high rankings are real, but they measure performance against metrics that were designed for the conditions of the late 20th century. A system can be top-ranked on yesterday’s measures while being progressively less capable of handling tomorrow’s challenges. The question is not whether Sweden is well-governed by historical standards—it is. The question is whether its governance architecture is being upgraded at the pace its environment is changing. The answer, across the three mechanisms documented in this report, is no.

D.2 “Doesn’t cross-agency data sharing threaten Sweden’s privacy traditions?”

The proposal is not for unrestricted data sharing or centralised surveillance. It is for a privacy-by-design architecture that enables specific, governed, transparent data connections for specific sensemaking purposes, under independent integrity oversight, using modern cryptographic techniques that can detect patterns without exposing individual identities. Sweden has chosen privacy over systemic visibility because it never had to choose—the technology to have both did not exist when the current legal framework was designed. It exists now. Sweden can be the first nation to demonstrate that privacy and sensemaking are not in tension but can be designed as complementary goods.

D.3 “Isn’t this just decentralisation by another name? We tried that and it didn’t solve the problems.”

Sweden already has formal decentralisation—but it is paired with functional centralisation. Municipalities have responsibility without the fiscal or experimental autonomy to match. This report proposes not “more decentralisation” as a generic slogan, but a specific rebalancing: fiscal autonomy matched to responsibility, experimentation authority with transparent evaluation, and asymmetric capacity building so that municipalities at different starting points can build toward genuine self-governance. This is not the decentralisation Sweden has already tried; it is a qualitatively different relationship between the centre and the periphery.

D.4 “The Swedish consensus culture is a strength, not a weakness. Why should we import adversarial politics?”

The goal is not to import adversarial politics. It is to give the existing consensus culture the architecture it needs to function in a more complex world. Structured disagreement—red teams, deliberative bodies, futures literacy—is designed to make consensus *earned* rather than *assumed*. The Swedish commitment to *saklighet* is not undermined by institutionalising the function of challenge; it is strengthened, because the consensus that emerges from genuine deliberation and rigorous testing is more robust than the consensus that emerges from the suppression of dissent.

D.5 “Won’t the Framtidskommuner just become another pilot project that goes nowhere, like so many others?”

The risk is real. The Swedish landscape is littered with well-intentioned pilot projects that produced reports and faded away. The Framtidskommuner are designed to avoid this fate through three specific features: (1) genuine authority, not just consultative status—pilots that can actually make decisions produce different dynamics than pilots that can only advise; (2) transparent, independent evaluation that makes results visible and legible to other municipalities, creating the conditions for scaling by attraction; and (3) a dedicated legal framework—a

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—that provides political cover and a pathway for extension or scaling, rather than leaving the pilots dependent on the continued enthusiasm of a particular minister or agency director.

D.6 “This report diagnoses problems but doesn’t offer a political strategy. How do you actually get this done?”

The transition architecture in Section 5 is the political strategy. It is designed for Sweden’s specific institutional landscape: voluntary participation rather than central mandate, working with existing trust rather than against it, and framing the upgrade as a continuation of the pragmatic tradition rather than a critique of it. The Framtidskommuner require only that a handful of municipalities be willing to try something different, and that the national government be willing to grant the necessary legal and fiscal permissions. The evidence they produce—if the diagnosis is correct—will make the case for broader adoption more effectively than any political argument could.

Appendix E: About this report and how it was made

How it was made

This report was generated by AI language models (Claude, ChatGPT, DeepSeek) from prompts by Björn Kenneth Holmström. Several models were prompted in parallel to approach Sweden's situation, and their outputs were combined into a single text using the systems-thinking framework he had set out. He chose the topic, posed the questions and decided to publish the result, but wrote little of the text himself.

The report has not been systematically fact-checked. Statements about Swedish institutions, laws, events, figures and sources may be inaccurate or invented, and should be verified against primary sources before being relied on or cited. Like any work of synthesis, it is provisional. It makes no claim to finality. It claims only that the lens it offers merits testing against reality—and that the testing, in the end, is what matters most.

Perspective and limits

Neither the models nor the person who prompted them write from within Sweden's institutional core. Björn Kenneth Holmström lives in Sweden and knows Swedish society as a resident, but has no formal training or professional experience in Swedish public administration or political science. He has studied engineering physics and has worked with mathematical optimisation at TOMLAB Optimization. The framework applied here draws on complexity science, developmental psychology and governance theory.

Standing outside the institutions limits access to the granular, day-to-day texture of Swedish policy-making. A view from the periphery can sometimes raise questions that the centre has learned not to hear, but it can just as easily miss what insiders know. The report does not claim insider knowledge. It offers a lens that may or may not prove useful to those who hold institutional positions and are searching for frameworks that make sense of what they are experiencing.

Feedback, criticism, and corrections are welcome. The argument is offered in the spirit of collaborative sense-making, not definitive pronouncement.

The Country Reports Series

This report was the third in a series of Country Reports for Systemic Change, all produced in the same way. The first examined Germany through the lens of a twin execution deficit and proposed Adaptive Governance Pilot Regions. The second examined France through the lens of an integration deficit and proposed Territoires d'Intégration Adaptative. Together, the first three reports propose a triptych on Europe's adaptive capacity gap: the inability to *decide*, *integrate*, and *sense* simultaneously. Later reports extended the series to

India, the European Union, and beyond, each asking the same underlying question: *Is the real bottleneck money, decisions, or legitimacy—or is it the system's capacity to see what it is facing and adapt before the window narrows?*